



Assignment -1 Comprehension Package

Passage 1

Directions (Q.1-10): Read the following passage carefully and answer the questions given below it. Certain words/ Phrases have been printed in bold to help you locate them while answering some of the questions

Visionary statesman and engineer Sir M. Visvesvaraya once told the citizens of the State to either 'industrialise or **perish**'. An inspired Karnataka became one of the **pioneers** of industrialisation in the early 20th century. There has been no looking back since then. The State has earned the monikers knowledge hub, Silicon City and start-up capital. Today, the industry sector contributes around 23% to the State's GDP. Acting as a catalyst for change has been the Federation of Karnataka Chambers of Commerce and Industry (FKCCI), which was established by Sir Visvesvaraya and pre-dates FICCI and ASSOCHAM. In 100 years of its existence, the FKCCI has shifted focus from trading to large industries to small and micro enterprises, and remains an important facilitator of business in the State. Launched on May 8, 1916 as the Mysore Chamber of Commerce, it was envisioned as a platform to bring trading communities together and ensure 'ease of doing business'. Nalwadi Krishnaraja Wadiyar, the erstwhile king of the princely state of Mysore, offered land adjoining the State Bank of Mysore on K.G. Road for the industry body. W.C. Rose, who was the first manager of the State Bank of Mysore, served as the first president of the Chamber from 1916 till 1920. The Chamber grew into prominence and public eye in 1935 when it submitted a memorandum demanding amendment in the Indian Companies Act, 1913. To keep members **abreast** of changes in policy and laws governing industries, it started publishing a journal called 'Mysore Commerce', comprising a detailed market report and bulletin. In 1974, the name was changed to FKCCI. It has hosted former prime minister Indira Gandhi, former Presidents V.V. Giri, Shankar Dayal Sharma and former British prime minister Margaret Thatcher. In all these years, the Chamber has been a beehive of economic activity. "Today, we have 3,000 direct members and over 2.5 lakh indirect members. We represent small and large SMEs, small and large trading companies and professionals, including Chartered Accountants. We work with 28 local district chambers of commerce," said M.C. Ramesh, the president of the chamber. Calling the late 80s as the turning point, Valliappa C., who served as the president of the Chambers in 1988-89, said until that point the body was working mostly with traders. "This was the time when industries started gaining importance and attached themselves to the Chamber." Though the Chamber has large scale industries as members, most of them are not active. The focus today has shifted to MSMEs and SMEs.

While getting financial assistance was the biggest challenge in the early '70s and '80s, today it is availability of land and rising labour costs that FKCCI members have to deal with. "The labour cost has increased by over 50 per cent in the State. In neighbouring Tamil Nadu and other States, labour is cheaper by 40 per cent. This can result in labour-oriented industry moving away from the State. We have been holding multiple talks with government representatives on this issue. Another challenge is frequent changes in policy and business scenario," said Mr. Ramesh. Its short-term focus now is on enabling smooth migration of industries to the GST system and helping them go digital. "Any Chamber can only be relevant as long as it changes with the changing times. We have also evolved and will continue to do so," he added.

1. Can we infer from this article that FKCCI was envisioned as a platform to bring trading communities together and ensure 'ease of doing business'?

- 1) Definitely Yes 2) Definitely No 3) Maybe 4) Data Inadequate
5) Not mentioned in the passage

2. To keep members abreast of changes in policy and laws governing industries, it started publishing a journal comprising a detailed market report and bulletin. What is the name of that journal?

1. Mysore Chamber of Commerce
2. Chambers of Commerce
3. Mysore Commerce
4. Monikers knowledge hub
5. Silicon Valley Hub



Assignment -1 Comprehension Package

3. Which of the following statements/facts is/are true based on this article?

(A) Nalwadi Krishnaraja Wadiyar, was the first manager of the State Bank of Mysore, and served as the first president of the Chamber from 1916 till 1920.

(B) At present, the chamber has 3,000 direct members and over 2.5 lakh indirect members.

(C) M.C. Ramesh, is the present president of the chamber.

1. Only (A) 2. Only (B) 3. Only (B) & (C) 4. Only (A) & (C) 5) None of these

4. In which year the name of Mysore Chamber of Commerce was changed to FKCCI (Federation of Karnataka Chambers of Commerce and Industry)

- 1) 1916 2) 1947 3) 1974 4) 2016 5) None of these

5. What was the biggest challenge faced by FKCCI (Federation of Karnataka Chambers of Commerce and Industry) in the early '70s and '80s?

(A) The biggest challenge faced by FKCCI (Federation of Karnataka Chambers of Commerce and Industry) in the early '70s and '80s was availability of land and rising labour costs

(B) The biggest challenge faced by FKCCI (Federation of Karnataka Chambers of Commerce and Industry) in the early '70s and '80s was getting financial assistance

(C) The biggest challenge faced by FKCCI (Federation of Karnataka Chambers of Commerce and Industry) in the early '70s and '80s was keeping informed of the frequent changes in policy and business scenario

1. Only (A) 2. Only (B) 3. Only (B) & (C) 4. Only (A) & (C) 5. All of these

6. The writing style of this passage can best be categorized as:

1. Analytical
2. Critical
3. Descriptive
4. Cavilling
5. Persuasive

7. In the present date, what is the short-term focus of FKCCI (Federation of Karnataka Chambers of Commerce and Industry)?

(A). The Short-term focus of FKCCI is stop the migration of labour-oriented industry away from the State

(B). The short-term focus of FKCCI is on enabling smooth migration of industries to the GST system and helping them go digital

(C) The short-term focus of FKCCI is to keep track of the frequent changes in policy and business scenario

1. Only (A) 2. Only (B) 3. Only (B) & (C) 4. Only (A) & (C)
5. All of these

Directions (Q.8-10): Choose the word/group of words which is most similar in meaning to the word/group of words printed in bold as used in passage.

8. ABREAST

- 1) Concealed 2) Unaware 3) Apprised of 4) Ineffective 5) None of these

9. PERISH

- 1) Commence 2) Improve 3) Lost 4) Cease 5) None of these

Directions (Q.10): Choose the word/group of words which is most opposite in meaning to the word/group of words printed in bold as used in passage.



Assignment -1 Comprehension Package

10. PIONEER

- 1) Avant-garde 2) Inaugural 3) Following 4) Brave 5) None of these

Passage 2

Directions (Q.1-10): Read the following passage carefully and answer the questions given below it. Certain words/Phrases have been printed in bold to help you locate them while answering some of the questions.

Even in the **fraught** and **volatile** framework of India-Pakistan ties, the Permanent Indus Commission mandated to implement the 1960 Indus Waters Treaty (IWT) has met like clockwork, 112 times in 56 years, annually in each country. The commission has experts who look into issues and disputes on the ground over the utilisation of the waters of six rivers of the Indus system. Under the treaty, India has full use of the three “eastern” rivers (Beas, Ravi, Sutlej), while Pakistan has control over the three “western” rivers (Indus, Chenab, Jhelum), although India is given rights to use these partially as well for certain purposes. As a result, there should be little to comment in the normal course when India accepts Pakistan’s invitation to the next round of talks, as it has for the Permanent Indus Commission in Lahore later this month. The move is welcome, as it denotes India’s commitment to the treaty that has stood the test of time and war, and also displays New Delhi’s sincerity on the issue of water-sharing, given that the IWT is seen to be a model in dispute management. In September last year, doubts had been raised over India’s commitment after the terrorist attack on an army camp in Uri, killing 19 soldiers. In the days that followed, senior officials announced the suspension of talks until there was an “atmosphere free of terror” after Prime Minister Narendra Modi held a review meeting on the treaty to consider **retaliatory** measures against Pakistan for the attack, saying, “blood and water cannot go together”. Mr. Modi repeated some of those angry sentiments at public rallies where he said India would not allow even a “drop of water” to go waste into Pakistan. The atmosphere was also charged after the government announced “surgical strikes” had been carried out along the Line of Control and subsequently pulled out from the SAARC summit in Pakistan, leading to fears of a freeze in bilateral ties.

In the event, the government has chosen wisely, with some encouragement from the World Bank and persistence by Pakistan, to step back from much of that **rhetoric**, and allow IWT commissioners from both countries to meet. The decision follows several other moves between India and Pakistan in the past few weeks indicating a softening of positions on some other issues as well: from a marked reduction in LoC firing, the regular annual exchange of nuclear lists, the release of prisoners by both countries, and India being part of the consensus to elect the Pakistani nominee as the SAARC Secretary-General this week. It would be premature to expect that any of these events, some of which are routine, consolidate a **thaw** in relations between the two countries. However, they reaffirm the high stakes that are woven into India-Pakistan relations, and the need to keep certain issues such as water-sharing above the politics of the moment.

1. Which statement is true regarding the Indus River System?

- (A) The Indus river system comprises of three rivers-Beas, Ravi, Sutlej that flow in India
- (B) The Indus river system comprises of five rivers - Beas, Ravi, Sutlej, Jhelum and Indus
- (C) The Indus river system comprises of three rivers – Jhelum, Chenab and Indus
- (D) The Indus river system comprises of six rivers - Beas, Ravi, Sutlej, Jhelum, Chenab and Indus

- 1) Only (A) 2) (A) & (C) 3) Only (D) 4) All of these 5) None of these

2. Which of the following statements is true regarding the Indus Water Treaty (IWT)?

- A) India has full use of the three “eastern” rivers (Beas, Ravi, Sutlej)
- B) Pakistan has control over the three “western” rivers (Indus, Chenab, Jhelum)
- C) India is given rights to use the three western rivers partially for certain purposes

- 1) Only (A) 2) (A) & (B) 3) Only (C) 4) All of these 5) None of these



Assignment -1 Comprehension Package

3. Why was the Permanent Indus Commission formed?

- A) To implement the 1960 Indus Water Treaty
 - B) To look into issues and disputes on the ground over the utilization of waters of the six rivers of the Indus system
 - C) To decide water of which rivers will be utilized by which countries
- 1) Only (A) 2) (A) & (B) 3) Only (C) 4) All of these 5) None of these

4. Which of the statements is true as per this article?

- A) Permanent Indus Commission was formed in 1966
 - B) Permanent Indus Commission has been mandated to implement Indus Waters Treaty (IWT)
 - C) The Permanent Indus Commission has met 112 times in 56 years.
- 1) Only (A) 2) (A) & (B) 3) (B) & (C) 4) All of these 5) None of these

5. Which of the following did not happen after the government's decision to allow the IWT Commissioners from both countries to meet?

- 1) marked reduction in LoC firing.
- 2) Release of prisoners by both countries.
- 3) India being part of the consensus to elect the Pakistani nominee as the SAARC Secretary-General.
- 4) The passage does not say anything about this.
- 5) None of these.

Directions (Q.6-7): Choose the word/group of words which is most similar in meaning to the word/group of words printed in bold as used in passage.

6. Rhetoric

- 1) Effective or persuasive speaking or writing
- 2) Conciseness
- 3) Comprehensive
- 4) Dramatic
- 5) None of these

7. Volatile

- 1) Emergency 2) Tense 3) Passionate 4) Dramatic 5) None of these

Directions (Q.8-10): Choose the word/group of words which is opposite in meaning to the word/group of words printed in bold as used in passage.

8. Fraught

- 1) Anxious 2) Worried 3) Distraught 4) Frantic 5) None of these

9. Thaw

- 1) Solidify 2) Worried 3) Sociable 4) Melt 5) None of these

10. Retaliatory

- 1) Castogatory 2) Corrective 3) Reciprocal 4) Forgiving 5) None of these

Passage 3

Directions (Q.1-8): Read the following passage and answer the questions that follow.



Assignment -1 Comprehension Package

Participatory democracy is about the people participating in most **aspects** of legislative & government decision making. Though initiatives like participatory budgeting have been tried at various places across the world including Porto Alegre in Brazil and few other cities in the USA, the real essence of participatory democracy is yet to be witnessed. It is in this context that the Council of Europe's approval to the guidelines for civil participation in political decision making assumes importance.

The Council of Europe (CoE) is an international organisation with 47 member states and was setup to promote democracy and protect human rights and the rule of law in Europe. This is different from the European Union. Its decisions act as guidelines for member states to come up with specific laws in certain areas. The Committee of Ministers is CoE's statutory decision-making body and comprises the foreign ministers of all member states. It is this Committee of Ministers that approved the guidelines in its most recent meeting.

The introductory note of the introduced guidelines mention participation of citizens to be at the heart of the idea of democracy. It goes onto say that participatory democracy, based on the right to seek to determine or to influence the exercise of a public authority's powers and responsibilities, contributes to representative and direct democracy and also that the right to civil participation in political decision-making should be secured to individuals, non-governmental organisations (NGOs) and civil society at large.

There are 4 main types of civil participation outlined in these guidelines. First being provision of information which says that at all stages of decision making, all appropriate information should be presented in clear and easily understandable language and in an appropriate and accessible format, without undue administrative obstacles and, in principle, free of charge, in accordance with open data principles. Public authorities should provide the widest possible access, both offline and online, to key documents and information without restrictions on analysis and re-use of such information. The second provision is Consultation which mentions that views on policy should be **collated** as a part of official procedure from individuals, NGOs etc. through various tools, such as meetings, public hearings, focus groups, surveys, questionnaires and digital tools. Public authorities should provide publicly available feedback on the outcome of consultations, particularly information giving reasons for any decisions finally taken. The third provision, Dialogue is a structured, long-lasting and results-oriented process which is based on mutual interest in the exchange of opinions between public authorities, individuals, NGOs and civil society at large. Public authorities, NGOs and civil society at large may consider establishing different platforms as a permanent space for dialogue and participation. Such platforms may include regular public hearings, public forums, advisory councils or similar structures. The fourth provision Active involvement refers to opportunities for civil participation in decision-making processes provided by public authorities to individuals, NGOs and civil society at large that extend beyond the provision of information, consultation or dialogue. It may include working groups or committees for the co-development of documents with transparent criteria and processes for the representation of individuals and NGOs.

The CoE has asked member states to adapt rules that can enable the public authorities to make use of these guidelines. It has also asked the member states to widely disseminate these guidelines and help in assessing the implementation of these guidelines.

The Indian Right to Information Act (RTI), widely considered as one of the best in the world already has some provisions outlined in these guidelines. Section 4 of the act has provisions for publishing all the relevant facts while formulating important policies and also provides for disclosure of reasons for administrative & quasi-judicial decisions to the affected persons. It also provides for **dissemination** of such information in the most easily accessible formats. But in practice, these provisions are rarely implemented. Information on projects, policies in an easily understandable manner is rarely made available by governments.

In February 2014, the then UPA government came up with a pre-legislative consultation policy. The policy talks about making the draft legislations/policies available on the internet including justification, essential elements, financial implication etc. and seeking opinion of various stake holders including affected groups.

These days, it is largely being done through the internet where opinion/feedback is sought through the MyGov portal. While this is a welcome development, there is a need for sharing relevant information in greater detail, multiple



Assignment -1 Comprehension Package

formats so that the process does not exclude those who do not use the internet. Central & State Governments should also work towards providing multiple platforms/forums for consultation & dialogue beyond the internet and make the findings & submissions of such consultations public.

1. What according to the introductory note of the guidelines, is the essence of democracy?

- 1) Feedback of government's work
- 2) Participation of Citizens
- 3) Welfare of the citizens
- 4) Revelation of all the information to the citizens
- 5) All of the above

2. How is it suggested in the passage to collect the feedback of the people who do not use the internet?

- 1) Sharing relevant information in greater detail
- 2) Sharing relevant information in multiple formats
- 3) Providing multiple platforms for consultation
- 4) Both 1 and 2
- 5) All of the above

3. Which provision covers the organization of the views of individuals, NGOs etc. on policy?

- 1) Consultation
- 2) Introductory
- 3) Information
- 4) Participation
- 5) Dialogue

4. Choose the statement which is TRUE according to the passage?

- 1) In the provision of Active involvement opportunities for participation in decision making processes will be provided by individuals to public authorities.
- 2) Right to information Act has provisions for publishing some of the filtered relevant information while formulating important policies
- 3) Currently data is being provided by many countries to its citizens in accordance with open data principles
- 4) The Council of Europe has asked member states to restrain the guidelines within themselves for the time being.
- 5) None of the above



Assignment -1 Comprehension Package

5. Which of the following statements is NOT TRUE according to the passage?

I. According to the introductory note of the guidelines, the right to civil participation in political decision-making should be secured mainly to the non-governmental organisations (NGOs)

II. Participatory budgeting has already been tried at various places across the world

III. According to pre-legislative consultation policy, the opinion on new policy was sought only by the relevant investors

- 1) All of the above
- 2) Only I
- 3) Both I and III
- 4) Both II and III
- 5) None of the above

Directions (Q. 6-7): Choose the word which is the **same** in meaning as the word/phrase given in **bold** as used in the passage.

6. **ASPECTS**

- 1) Destiny
- 2) Features
- 3) Followers
- 4) Ways
- 5) Pieces

7. **COLLATED**

- 1) Organized
- 2) Mixed
- 3) Reviewed
- 4) Heaved
- 5) None of these

8. Choose the word which is the **opposite** in meaning as the word **DISSEMINATION** as used in the passage.

- 1) Weakening
- 2) Collection
- 3) Distribution
- 4) Degeneration
- 5) Concealment



Assignment -1 Comprehension Package

Passage 4

Directions (Q.1-7): Read the following passage divided into number of paragraphs carefully and answer the questions that follow it.

Paragraph 1: Sacrifice is a part of life. Truth is, we can't have everything at the same time. For anything we gain, we always have to lose something. No matter how insignificant it may be for us to notice, we have to accept that it's a rule of life. But even upon knowing this, why does it always seem like most of us are still so afraid every time we hear the word sacrifice? Well, that's a question that will definitely twist our minds yet we'll still find difficulties in answering it.

Paragraph 2: In human nature, selfishness is something natural. We always tend to think of ourselves first than other people. We have no control over this because it's a natural instinct. We may fake it at some situations when other people are watching but on the hardest of times, it will definitely show. It's not a sin or a crime that we should be ashamed of. However, we must not also be blinded by the fact that it's one great factor that is causing us to fear the very own concept of sacrifice.

Paragraph 3: One of the biggest misconceptions in this world is what people naturally think of once they hear this word. Every time it happens, we immediately think of having to give up something that is important to us, if letting go something that we treasure so much, of having to lose something. We think that sacrifice is like a scourge that takes away whatever we have from us. This is absurd. To fear sacrifice is to fear the natural flow of life.

Paragraph 4: I remembered what a friend once told me, "There are no random acts in this world. We always perceive that every decision or action we make are undirected but there is a balance and a purpose for each". When one withers, another grows. Someone's ending is someone else's beginning. As a person's last breath is taken away, a newborn cries somewhere in this world. Same goes with sacrifice.

Paragraph 5: The thing is we see sacrifice as a negative part of life but we shouldn't. It is not something to regret. Instead, it is something to aspire to. Whether little or big sacrifices, we all make them so there's no reason for us to feel so unfortunate every time we have to give something up. We may choose our natural instinct of being cynical to take over but at the end of the day, our very own regrets of how selfish we've become would only hurt us.

Paragraph 6: Instead of crying over the things that we already lost, why don't we try to feel good about it? Because looking at life in a bigger picture, we won't actually lose something without gaining anything. If it's for another person's benefit or for the betterment of our lives, it doesn't matter because after years gone by, what you obtain for yourself won't even matter but the sacrifices that you made to make another person's life better will. We cannot be happy at all times but it's a choice we make. Being selfish is in our nature but being able to let go of that selfishness for someone is love and I believe that it's something that each and every one of us are still capable of. Sacrificing; it's probably hard especially if a part of you will be gone after losing something or someone who plays a very important role in your life but if you'll think about it again and witness that it will make a particular person smile, then it's probably one of the best feelings that you'll feel throughout your life. How about you, have you made a sacrifice?

1. Find the paragraph-statement combination that justifies the statement 'To fear sacrifice is to fear the natural flow of life.' as mentioned in Paragraph 3?

- 1) **Paragraph 5** - The thing is we see sacrifice as a negative part of life but we shouldn't.
- 2) **Paragraph 1** - Sacrifice is a part of life
- 3) **Paragraph 6** - Because looking at life in a bigger picture, we won't actually lose something without gaining anything.
- 4) **Paragraph 2** - It's not a sin or a crime that we should be ashamed of.
- 5) **Paragraph 4** - As a person's last breath is taken away, a newborn cries somewhere in this world.



Assignment -1 Comprehension Package

2. What does the author mean by the statement, "We may choose our natural instinct of being cynical to take over but at the end of the day, our very own regrets of how selfish we've become would only hurt us." as mentioned in Paragraph 5?

- 1) We may become pessimistic while seeing ourselves become selfish but our regrets will hurt us
- 2) By sacrificing on something we don't want to, we may become pessimistic but if we don't sacrifice then the guilt of being selfish will hurt us
- 3) We should be optimistic while sacrificing as whining after sacrificing hurts us and yields more regret.
- 4) Accepting that sacrifice is a course of life will make us more optimistic and less hurtful.
- 5) We will be less hurt if we prevent ourselves from being cynical and happily forget our selfish desires.

3. Which of the following statements cannot be inferred from Paragraph 6?

- 1) In order to gain something, we must lose something
- 2) We should try to feel good about the things which we have lost
- 3) Sacrifices that we make to make another person's life better matter more than what we have obtained for ourselves.
- 4) Sacrifice is a natural part of our life and going against it will be harmful and hurtful for us
- 5) Everyone is capable of letting go of one's selfishness

4. What should be the ideal way to deal with sacrifice?

- 1) Whine about sacrifice
- 2) Sacrifice happily only for the sake of the other person
- 3) Don't have regrets for being selfish
- 4) Don't see sacrifice as a negative part of life
- 5) Realize the fact that we can never have everything

5. According to paragraph 3 of the passage, what do people naturally think of once they hear the word sacrifice?

- 1) Fear of being judged as a selfish person
- 2) Having to give up something that is important to them
- 3) Being ashamed of their negative qualities that may come out in front of others once they refuse to sacrifice
- 4) Losing someone they love
- 5) All of the above

6. According to paragraph 2, what is not a 'sin'?

- I. Fear of sacrifice



Assignment -1 Comprehension Package

II. Not knowing the real meaning of sacrifice

III. Being selfish

1) Only I

2) Both I and II

3) Only III

4) All of the above

5) Only II and III

7. What is/are the author's viewpoint(s) in accordance with Paragraph 4?

I. Balance is always maintained in this world

II. Not everything is planned

III. A negative is balanced by a positive

1) Only III

2) Both I and III

3) Only II

4) All of the above

5) Only II and III

Passage 5

Directions (Q1 - 8): Read the following passage and answer the questions that follow.

While opposition and dissent is the lifeblood of any democracy, this is useful if it is based on some coherent arguments and **cogent** reasoning, instead of being merely reactive, or worse, reactionary. While there is absolutely nothing wrong in making digs and taking swipes at the ruling dispensation – it adds colour to politics – on substantive issues, the criticism and opposition to government action (or inaction) and policy should be aimed at bettering things rather than making them worse. But instead of coming up with better alternatives, what is being offered is opposition for the sake of opposition of any and every decision of the government and of anything that the government does or doesn't do. Even though the government has given many openings and opportunities to the opposition to pin it on the mat, the opposition hasn't really managed to marshal its arguments effectively. One reason for this is that the opposition's argument and goalpost keep shifting and loses its **salience**.

In the field of economics, which is fast turning out to be something of an **Achilles heel** for this government, the criticism is mostly misplaced, and not based on policy but on politics. For instance, there was a huge uproar over rising petroleum prices. Reams were written and hours of airtime spent in informing people of the quantum of taxes levied on petroleum products. Besides the fact that these taxes have been there forever and were not introduced by this government, it was quite a spectacle to see how the very people who raised hell over the rising prices, switched tack and started clobbering the government for cutting some taxes and indulging in cheap populism to bring down the prices of petroleum. The same trend was visible on the GST issue.



Assignment -1 Comprehension Package

That GST is anything but a simple tax and has become a millstone around the neck of many an economic agent is well known. But the responsibility for the way in which this tax has been rolled out has to be borne by the entire political spectrum which is present in the GST council. Be that as it may, the government was severely chastised for not responding to the problems faced by the traders and small businesses. It was accused of being insensitive and callous to the sufferings of millions of Indians. But when the government responded and gave relief, it was again disparaged. If the government takes initiatives to promote industry, it is accused of playing into the hands of and working for corporates; when it ignores corporates and their bottom lines start falling and layoffs start rising, the government is accused of ignoring the economy.

Clearly, as far as its detractors are concerned, the current dispensation is damned if it does, and damned if it doesn't. The problem with this **zero-sum approach** is that very often even if the criticism of government policy and action is valid, the perception is that it is just opposition for the sake of opposition and there is neither any sense nor any sensibility in the criticism. It would probably make more sense for the opposition to take credit for any change in tack by the government in response to its clamour rather than swing to the other side and criticise the government for doing what it was asking it to do, and in the process compromising its own credibility. But doing this would mean changing the political paradigm in India, something that no politician really wants. After all, it is so much easier to ride to power by demonising your rivals, cementing your vote banks, mouthing seductive populist political slogans that are impractical, instead of doing the difficult job of worsting your rivals by presenting with solid alternative policies that will deliver on the ground.

1. According to the passage, what is the reasoning behind the inability of the opposition to usher its arguments effectively?

- 1) Constant change in the ideology of the opposition
- 2) Lack of opportunities by the government to pin point
- 3) Loss of prominence of arguments due to instability in them
- 4) Non uniformity in the ideologies of different sects of the opposition
- 5) Constant need to project the right in varied sectors

2. Find the incorrect statement according to the passage.

- 1) The government cut the taxes on petroleum for the weaker section of the society
- 2) The introduction of GST caused problems to traders and small businessmen.
- 3) No politician wants to see the model of the politics to be changed in India.
- 4) The continuous shifting of the opposition's arguments weaken its stands
- 5) None of the above

3. What, according to the passage, was the government accused of in relation to the GST?

- I. For not helping the renowned businessmen in boosting the economy
- II. For being insensitive towards the citizens
- III. For not paying attention to the economy



Assignment -1 Comprehension Package

1) Both I and II

2) Both II and III

3) Only II

4) Both I and III

5) All of the above

4. What message does the author want to convey through the passage?

1) Opposition lost the plot by continuously shifting its argument according to its convenience and audience.

2) There is a clear recognition that the opposition is not a magic potion that will make the inability of the government vanish.

3) The opposition, which is otherwise eager to create a furore at the very hint of a scam, has been restrained in its coverage of the missing lakhs of crores.

4) Even if criticism of government policy and action is valid, the perception is that it is just opposition for the sake of opposition.

5) The tailoring of the argument according to convenience is never ending.

5. What is the 'zero-sum approach' referred to in the passage?

1) Benefit of the citizens is loss of the opposition

2) Opposition criticizing the government in every step it takes

3) Opposition finding flaws in the positive done by the government

4) Opposing the mistakes of the government

5) None of the above

6. Choose the word from the given options which has the meaning most similar to the word "**cogent**" as used in the passage.

1) Detrimental

2) Meagre

3) Persuasive

4) Feeble

5) Derogatory

7. Choose the word from the given options which has the meaning most opposite to the word "**salience**" as used in the passage.

1) Indigence

2) Insignificance



Assignment -1 Comprehension Package

3) Abundance

4) Profusion

5) Defalcation

8. What is the meaning of the idiom '**Achilles heel**', as used in the passage?

1) Difficulty in decision making

2) Preconceived Notion

3) Feigned objection

4) Inauspicious

5) Weakness or vulnerable point

Passage 6

Directions (Q1-7): Read the following passage and answer the questions that follow.

The financial industry today looks stable and boring, with a few megabanks ever-more entrenched and markets that may not offer the same risks and rewards as before the 2008-2009 financial crisis but which remain highly profitable for **incumbents**. That stasis, however, masks looming challenges to the **sclerotic** incumbents. One such challenge was much in evidence this past week: Bitcoin. The gaining momentum of digital currencies is a potent sign that Western financial architecture of the 20th century may not long survive the 21st.

The price of Bitcoin has been on tear for months, and the pace of gains has accelerated in the past weeks, reaching \$6,000 on Friday. That's sparked a new round of criticism from financial **luminaries**. Jamie Dimon, CEO of JP Morgan Chase, called Bitcoin a "fraud" and said that he would fire anyone who traded it for being "stupid." After some pointed out that Chase is actively pursuing blockchain solutions and digital payments akin to Bitcoin, Dimon said he was done talking about it, only to repeat his critique a few days later. Larry Fink, CEO of Blackrock, called Bitcoin "an index of money laundering." Global investment bank UBS just issued a lengthy report on the digital currency "bubble," warning that Bitcoin is unlikely to become a bona-fide currency: "A constant theme of bubbles is the ability of speculators to shout that dreaded cry 'this time it's different'. Logical arguments against the bubble can then be disregarded as speculators declare that the doubters simply do not understand that the world has changed. The problem with this theory is that the world never changes that much."

Bitcoin itself may, of course, be a speculative bubble; its price is up more than 750% in the past year, and such moves should give anyone pause. That is not the same as it being a "fraud." In fact, the way that the guardians of the financial world are dismissing these phenomena says more about them than it does about Bitcoin, and what it says isn't pretty. Rather than **grappling** with the ways in which the software and information-technology revolutions have yet to deeply disrupt finance, the defenders of the status quo are seizing upon the price action of Bitcoin as proof that it is all a fever and a mirage.

Even if Bitcoin is in a price bubble, that doesn't make it a tulip. The same is true for other new and untested digital currencies. What makes Bitcoin so appealing is the potential that it will augment and replace traditional currencies. Through its underlying blockchain technology, Bitcoin has the potential to facilitate secure, authenticated transactions between a buyer and seller, without the mediation of a bank or a government. That it has yet to do so does not prove that it cannot or will not do so. Skeptics should welcome the debate.



Assignment -1 Comprehension Package

IMF Managing Director Christine Lagarde outlined just how much digital currencies, mobile solutions, artificial intelligence, and other technologies will likely upend traditional finance, making bank branches obsolete, money-center banks unnecessary, and much of the surrounding regulatory structure irrelevant. The financial industry is largely unprepared for that.

Lagarde, at least, implicitly realizes that it's a mistake to summarily dismiss those who say "this time it's different." Yes, it is frequently the case that claims of "this time it's different" are wrong, often spectacularly so. That said, it would be wiser for established financial institutions to look at what happened in the retail industry, what happened to media, to transportation, to communications, to what is happening in healthcare, and recognize that things not only change, but that when they do, incumbents are often crippled or destroyed. JP Morgan's acquisition this week of fintech start-up WePay could be a sign that incumbents are starting to recognize just how the world is changing. But it is very little and very late.

Dismissing digital currencies because of how they've traded in the past months is an easy way to avoid grappling with how technology might soon undermine traditional modes of finance. Change always comes, sometimes slowly. That doesn't mean you should invest in Bitcoin today. But it does make it stupid to ignore what is very likely around the corner.

1. What according to Lagarde is likely to change the current financial industry?

- 1) Bitcoin
- 2) Blockchain
- 3) Technology
- 4) Cannot be determined
- 5) All of the above

2. Why according to the passage, is Bitcoin considered a fraud by Jamie Dimon?

- 1) Price of Bitcoin is up more than 750% in the past year
- 2) Jamie Dimon believes in blockchain solutions but not in Bitcoin
- 3) It is considered as a bubble
- 4) Gains of Bitcoin reached 6000 dollars.
- 5) Cannot be determined

3. What is blockchain?

- 1) Subsidiary of Bitcoin
- 2) A technology that uses Bitcoin
- 3) A technology that is used by Bitcoin
- 4) A company that owns bitcoin
- 5) Cannot be determined



Assignment -1 Comprehension Package

Directions (Q. 4-5): Choose the word which is the same in meaning as the word/phrase given in bold as used in the passage.

4. INCUMBENTS

- 1) Analysts
- 2) Officials
- 3) Followers
- 4) Missionaries
- 5) None of these

5. LUMINARIES

- 1) Brightest
- 2) Elated
- 3) Personalities
- 4) Penurious
- 5) None of these

Directions (Q. 6-7): Choose the word which is the opposite in meaning as the word/phrase given in bold as used in the passage.

6. SCLEROTIC

- 1) Prognosticator
- 2) Lenient
- 3) Upholder
- 4) Adamant
- 5) None of these

7. GRAPPLING

- 1) Struggling
- 2) Running
- 3) Challenging
- 4) Avoiding
- 5) None of these



Assignment -1 Comprehension Package

Passage 7

Directions (Q. 1 - 8): Read the passage given below and answer the questions that follow.

For years, China was regarded as the globe's **bastion** for economic growth. But a new study predicts those days are fading further into the rearview mirror as the Asian economic titan slows its roll. India appears to have snatched the growth crown from China, with researchers at Harvard University's Center for International Development estimating its economy will grow at a 7.7 percent average annual pace between 2015 and 2025. That ties Uganda for the fastest expected rate of economic growth over the course of that decade. But considering the World Bank last year estimated India's economy was more than 88 times larger than Uganda's, the former's rate of expansion will make bigger waves in the international market as India plugs along toward becoming one of the world's single largest economies. "The researchers attribute India's rapid growth prospects to the fact that it is particularly well positioned to continue diversifying into new areas, given the capabilities accumulated to date," said a press release accompanying the report. "India has made inroads in diversifying its export base to include more complex sectors, such as chemicals, vehicles, and certain electronics." The updated economic growth metrics tell a story of both India's rise and China's slowdown. The economy that for years drummed up annual growth metrics north of 7 percent – often sitting comfortably in the double-digits – is expected to slow down in the coming years, maintaining an average growth rate of 4.4 percent between 2015 and 2025. That's above the global average but is still a far cry from the breakneck pace the country maintained in recent years. China's economy last year grew at a notably faster 6.7 percent pace, and that was still its worst performance in more than a quarter of a decade.

It's worth noting, though, that India isn't necessarily expected to become a larger economy than China over the long **haul**. By 2050, China is expected to surpass the U.S. as the world's largest economy, with India possibly second should economic conditions evolve as predicted, according to a separate report published earlier this year by PricewaterhouseCoopers. Though the U.S. is currently measured to be the world's largest economy by traditional metrics, growth has proven to be lackluster in the aftermath of the Great Recession. The Federal Reserve predicts America's long-term economic growth through 2019 and beyond will fail to hit 2 percent. President Donald Trump's administration, meanwhile, has promised to put policies in place to boost annual gross domestic product gains north of 3 percent over the long haul. The most recent Harvard study, though, projects U.S. expansion will fall somewhere in the middle, averaging out about 2.9 percent annual expansion between 2015 and 2025. Though that's well shy of the numbers coming out of China and India, it would still be a welcome **uptick** in the eyes of U.S. economists. America's GDP hasn't eclipsed 2.8 percent growth in any year since 2005, and it's only happened three times since the turn of the millennium. Trump's economy-boosting efforts like health care, tax and infrastructure reform have yet to fully work their ways through Capitol Hill, and big-ticket deregulatory efforts – like what's contained in the House-approved Financial Choice Act – also haven't yet been signed into law. But Harvard's study suggests there could be a U.S. economic rebound on the horizon, though whether that's thanks to Trump's legislative agenda remains to be seen.

1. Which country is currently the largest economy in the world?

- 1) India
- 2) China
- 3) USA
- 4) Uganda
- 5) Cannot be determined

2. What is the reason behind the GDP of the USA not going over 2.8 in the past decade?

- 1) The recession phase



Assignment -1 Comprehension Package

2) Competitive market in China

3) Competitive market in both India and China

4) Election of Donald Trump as the president

5) None of these

3. Why is the rate of expansion of the Indian economy considered to spur the international market?

1) Growth rate of India is more than 7 whereas it lies around 2.8 for the USA

2) India is a much larger economy than Uganda and thus will make a stronger impact in the international market

3) China is recording a slow growth rate

4) India has diversified its exports base to include new sectors such as green energy, chemicals etc., which has uplifted the growth of Indian Economy

5) All of the above

4. What according to the researchers is/are the reason(s) behind India's rapid growth?

1) The biggest competitor China is recording its worst performance in more than a quarter of a decade.

2) India is in a good position to diversify into new areas

3) India expanded its export base to complex sectors

4) Both 2 & 3

5) All of the above

5. When the growth rate of Uganda and India is nearly the same, how can we say that India's economy is larger than Uganda's?

1) The report by PricewaterhouseCoopers says so

2) Uganda is a smaller country in terms of population in comparison to India and thus it will be said to be a smaller economy than India.

3) The researchers predicted that according to the data gathered such conclusion can be derived.

4) Only 1 & 3

5) None of these

Directions (Q.6-7): Choose the word which is the same in meaning as the word/phrase given in bold as used in the passage.

6. BASTION

1) Predictor

2) Upholder



Assignment -1 Comprehension Package

- 3) Follower
- 4) Preacher
- 5) None of these

7. HAUL

- 1) Distance
- 2) Walk
- 3) Difficult
- 4) Shove
- 5) None of these

8. Choose the word which is the **opposite** in meaning as the word UPTICK as used in the passage.

- 1) Decline
- 2) Downway
- 3) Doom
- 4) Boon
- 5) Flourish

Passage 8

Directions (Q. 1 - 7): Read the passage given below and answer the questions that follow.

The Reserve Bank of India's Monetary Policy Committee has since **inception** retained its unwavering focus on its primary **remit**: the preservation of price stability. It follows then that the central bank's rate-setting panel opted to leave benchmark interest rates unchanged and retain a neutral stance to achieve the medium-term target of keeping Consumer Price Index inflation close to 4% on a durable basis, while supporting growth. Spelling out the rationale for the decision, the MPC felt that with global crude oil prices having "firmed up further" amid a pick-up in demand and tighter supplies in the wake of OPEC's production cuts, the threat of upward pressure on accelerating inflation has increased appreciably. Add to this the uncertainty posed by the prospects of weaker-than-anticipated kharif crop output and the impact this may have on food prices, and the concerns agitating policymakers will be evident. There are also the not-so-small matters of farm loan waivers by States that could roil the quality of public spending and exert price pressures — as well as the question of when States may decide to implement their own salary and allowance increases in the wake of the Centre's Seventh Pay Commission implementation.

As the statement accompanying the rate decision points out, CPI inflation has risen by around two percentage points since the MPC's last meeting in August: from 1.46% in June 2017, to a provisional 3.36% in August. The RBI's September survey of household inflation expectations too has shown in qualitative responses a marked uptick in the proportion of respondents expecting the general price level to increase by more than the current rate. The **welter** of domestic pressure points on prices has also coincided with, in the MPC's words, "an escalation of global geo-political uncertainty and heightened volatility in financial markets due to the U.S. Fed's plans of balance sheet unwinding and the risk of normalisation by the European Central Bank." In the face of such a "juxtaposition of risks" to the outlook for price



Assignment -1 Comprehension Package

stability, the overwhelming majority of the MPC's six members saw little choice but to hold rates; there was a solitary dissent vote for a 25 basis points cut. The RBI's policymakers simultaneously raised their inflation projection for the second half of the current fiscal to a 4.2-4.6% range and cut the estimate for real Gross Value Added growth this year to 6.7%, from the August forecast of 7.3%. Reiterating the urgent imperative to "reinvigorate investment activity" to spur growth, the MPC has laid the onus squarely on the government's shoulders: from suggesting the recapitalisation of stressed state-owned lenders, to calling for further simplification of the GST regime and urging that stalled public sector investment projects be restarted. The baton has been passed and now it is for the Centre to do the running.

1. What, according to the passage is the main responsibility of the Monetary Policy Committee of RBI?

- 1) Ensuring that the fluctuations in prices of commodities in the market are handled well by the consumers
- 2) Ensuring Price stability
- 3) Ensuring that interest rates remain unchanged
- 4) Both 1 and 2
- 5) All of the above

2. What is the reason for the rise in the prices of crude oil on global level?

- 1) High demand of crude Oil
- 2) Low supply of crude oil due to the reduction in the production by OPEC combined with higher supply
- 3) Consumer Price Index inflation close to 4%
- 4) Both 2 and 3
- 5) All of the above

3. "The task of suggesting the recapitalisation of stressed state-owned lenders is currently a major responsibility of the MPC". This Statement is

- 1) Definitely True
- 2) Definitely False
- 3) Probably True
- 4) Probably False
- 5) Cannot be determined

4. What has the MPC done to ensure price stability?

- 1) MPC received qualitative responses for household inflation expectations
- 2) MPC did not change the standard interest rates
- 3) MPC created a balance between the Consumer Price Index inflation and growth
- 4) Both 2 & 3
- 5) All of the above



Assignment -1 Comprehension Package

Directions (Q. 5-6): Choose the word which is the same in meaning as the word/phrase given in bold as used in the passage.

5. REMIT

- 1) Repayment
- 2) Responsibility
- 3) Consequence
- 4) Giveaway
- 5) None of these

6. WELTER

- 1) Flurry
- 2) Spur
- 3) Moray
- 4) Loaves
- 5) None of these

7. Choose the word which is the **opposite** in meaning as the word INCEPTION as used in the passage.

- 1) Competence
- 2) Denouement
- 3) Opulence
- 4) Livre
- 5) Spur

Passage 9

Directions (Q.1-10): Read the following passage carefully and answer the questions given below it. Certain words/ Phrases have been printed in bold to help you locate them while answering some of the questions.

Viewed against the backdrop of the energy history of the country, the main-streaming of wind and solar has been rather sudden. Just three years ago, few would have thought of them as meaningful sources of energy. Today, they account for 7% of the country's electricity production — small still, but firmly set to grow, by at least ten percentage points in the next five years. Coal, on the other hand, while still being the dominant player, is on the back foot. Apart from being a source of pollution and global warming, it is also a water guzzler – in ten years, India's coal-fired power plants will need 12,000 million litres each day, thrice as much as Mumbai consumes daily now. With these issues, there is little reason to believe in the fuel's **resurgence** as a dominant force. There is a lot more juice left in wind and solar than has been squeezed out today. Newer materials such as perovskites that can replace silicon are showing up, giving solar panels more bang for the buck; the cost of offshore wind is falling dramatically so as to open up literally new areas — the seas. But solar is a daytime source, wind is seasonal, and both are on-off energy generators. Even with



Assignment -1 Comprehension Package

the advances in storage technology, these two sources cannot replace coal completely. The search for clean energy has not stopped with wind and solar. A **phalanx** of sources is waiting to be tapped into. Some—like Helium 3 from the moon—are on the very edge of science. But there are others that are not so far away. Swing the searchlight around, you see three that are more promising than the rest.

The hydrogen gas' time is truly beginning now, even if only for the reason that goes hand-in-hand with renewables. Electricity from wind and solar can be used to produce hydrogen, which can be stored. Also, hydrogen can be a good grid stabiliser — it can be used to fill gaps in the flow of power from wind and solar. Japan is ahead in hydrogen use, but more for automotive applications, with around 90 hydrogen filling stations to serve fuel cell powered cars made by Toyota. "It is a lot easier to use in stationary engines for power generation than in combustion engines," said Dr. Malhotra. But fuel cells are a lot more efficient, easier and cleaner way than burning it in combustion engines. Fuel cells are devices that split the hydrogen atoms into protons and electrons and get the electrons to flow through a circuit — flow of electrons is electricity. Smaller fuel cells can be used in vehicles and in applications such as powering telecom towers — a Bengaluru-based company called Intelligent Energy is selling such products. Larger fuel cells, or stacks of them, can be used for electricity for the grid.

Then there is Ocean energy. There are three subsets of this 24x7 energy source — waves (including up-down bob of the water surface), tides and underwater currents. A few commercial scale projects have come up, but there are dozens of pilots. There are many tricks to steal energy from the oceans. For instance, the Swansea Bay project, U.K., is to build a U-shaped wall — or, breakwater — on the coast where there is a tide, with the mouth open to the sea and place an array of turbines along the mouth. Water comes in when the tide flows and goes out when it **ebbs** — it turns the turbines both times. Tidal energy is not distant — companies like Alstom and GE have announced manufacture of the turbines. The **bobbing** movement of the waters is another source of energy. Of the many companies that have tried to tap it, Wave Star Energy, (whose principal shareholders are the Clausen brothers, the owners of the Danish company Danfoss) seems closest to commercialisation. The technology is basically to let buoys to move up and down, compressing air or pumping water which could then turn the turbines.

1. Which are the clean sources of energy mentioned in this passage:

- (A) Wind & Solar Energy
- (B) Ocean Energy
- (C) Helium & Hydrogen Gas
- (D) Silicon

- 1) Only (A)
- 2) Only (B)
- 3) Only (A) & (B)
- 4) Only (A), (B) & (C)
- 5) Only (B) & (C)

2. Can we infer from this article that with the advances in storage technology, wind and solar energy can replace coal completely for energy generation?

- 1) Definitely Yes
- 2) Definitely No
- 3) Maybe
- 4) Data Inadequate
- 5) Not mentioned in the passage

3. As per this article which of the following facts /statements is /are true?

- (A) Electricity from wind and solar can be used to produce hydrogen, which can be stored in fuel cells
- (B) Wind and Solar Energy account for 7% of the country's electricity production and are predicted to grow, by at least ten percentage points in the next five years.
- (C) The fuel cells stored with hydrogen are a lot difficult to use in stationary engines for power generation than in combustion engines

- 1) Only (A)
- 2) Only (B)
- 3) Only (A) & (C)
- 4) Only (A) & (B)
- 5) All (A), (B) & (C)

4. How many and what are the subsets of Ocean Energy- the 24x7 energy source, as mentioned in this article?

- 1) Two subsets: Waves and Tides



Assignment -1 Comprehension Package

- 2) Two subsets: Waves and Underwater current
- 3) Three subsets: Waves, Tides and Underwater currents
- 4) Three subsets: Waves, Tides and Buoys
- 5) Three subsets: Waves, underwater currents and buoys

5. As per this passage, even after being an efficient source of energy, why is coal not considered a good source of energy?

- (A) Coal is not considered a good source of energy because it causes pollution and global warming
- (B) Coal is not considered a good source of energy because it requires a lot of water for energy generation
- (C) Coal is not considered a good source of energy because the cost of energy generation is too high

- 1) Only (A) 2) Only (B)
- 3) Only (A) & (B) 4) Only (B) & (C)
- 5) All of these

6. As per you what could be a suitable title for this passage?

- 1. The competitors of Coal
- 2. Saviours of Mankind
- 3. Technological Advances in Energy generation
- 4. The Untapped sources of Energy
- 5. Energy Generation: The Way Ahead

Directions (Q.7-8): Choose the word/group of words which is most similar in meaning to the word/group of words printed in bold as used in passage.

7. BOBBING

- 1) Sideways 2) Oscillate
- 3) Circular 4) Sudden
- 5) None of these

8. PHALANX

- 1) Individual 2) Multitude 3) Important
- 4) Few 5) None of these

Directions (Q.9-10): Choose the word/group of words which is most opposite in meaning to the word/group of words printed in bold as used in passage.

9. EBB

- 1) Decay 2) Drop
- 3) Advance 4) Tide
- 5) None of these

10. RESURGENCE

- 1) Return 2) Triumph 3) Failure
- 4) Renewal 5) None of these

Passage 10

Directions (Q.1 - 10): Read the following passage carefully and answer the questions given below it. Certain words/ Phrases have been printed in bold to help you locate them while answering some of the questions.

The capital market regulator, SEBI has announced guidelines that should make capital market access easier for start-ups and new age companies. As the SEBI chairman pointed out there has been a felt need on the part of the new age companies for a more liberal capital market listing regime than what obtains for most other companies seeking listing



Assignment -1 Comprehension Package

on the domestic exchanges. That should also give an easier exit option for venture capital and others who have invested in the start-ups. Consequently there will be increased liquidity in the system.

The broad objectives outlined by SEBI are to create an enabling environment for the start-ups to flourish in India instead of depending on overseas exchanges as some of the more visibly successful ones have proposed. An offshore listing **confers** a lot of advantages, chiefly an opportunity to operate under a liberal capital market regime and access to a huge reservoir of capital. It has been claimed that the new rules are part of an effort to create a domestic funding regime that reflects the thriving entrepreneurial scene in the country.

The guidelines closely follow the points raised in the discussion paper. Hi-tech start-ups in areas such as analytics and biotech can list in India on the Institutional trading platform (ITP) of exchanges, if at least 25 per cent of their pre-issue capital is held by qualified institutional buyers (QIBs) such as private equity and venture capital firms and non-banking financial companies (NBFCs). Other start-ups can also seek listing in the platform provided 50 per cent of their pre-issue capital is held by QIBs.

An important relaxation in the normal IPO rules relates to the use of funds raised. Start-ups listing on this platform will not face any restriction on the use of funds raised through public issues for general corporate purposes. For more conventional issuers of capital listing on the main boards of exchanges, not more than 25 per cent of the capital raised can be used for general corporate purposes. Further, the existing three year lock-in period for many categories of pre-issue shareholders has been relaxed and that for start-ups the lock-in period will be for only six months for all categories of pre-issue shareholders.

75 per cent of the shares listed on the institutional trading platform will be available for institutional investors with only the balance 25 per cent available for non-institutional investors. The minimum transaction size will be Rs.10 lakh, both at the time of initial offer and subsequent trading. This is clearly meant to keep out the relatively small investors. The logic is that the relatively better off investors will be able to assess the risks in what undoubtedly will be a new experience both for investors as well as regulators. In another important stipulation, the guidelines specify that no person individually or acting in concert will be allowed to hold more than 25 per cent of the post-issue capital of the start-up. The definition of QIBs has been extended to cover NBFCs, family trusts and other entities that register themselves as alternative investment funds.

The disclosure requirements so integral to an IPO has been diluted for the public issues of these start-ups. The company will still file the prospectus but the offer document will reflect the new liberalisation. This and the stipulation to restrict the issue to the well-heeled investors are the most significant reversals of recent capital market regulation.

The question is whether the 3,000 plus estimated start-ups will be enthused by the relaxation. It has been pointed that there are other factors that would influence a listing. For instance, a listing on Nasdaq or Singapore might by themselves enhance the business prospects of the listing company. Secondly, should the regulator change track so significantly and whether the price of this liberalisation can be more than met through increased activity among start-ups. Finally, laymen especially but regulators too might be **flummoxed** by the nature of business the tech start-ups are engaged in. The prospectus — even if one cares to read — will be a poor guide and because of the diluted disclosure requirements very little will be known about promoters.

1. Which of the following is/are true about the capital market regulator, SEBI's guidelines to make capital market access easier for start-ups and new age companies?

(A) The disclosure requirements have been diluted for the public issues of these start-ups.

(B) The start-ups have been restricted to issue major part of shares to small investors only.

(C) The start-ups can use any amount of funds raised through public issues for general corporate purposes.

1) Only (C) 2) All (A), (B) & (C)

3) Only (A) & (C) 4) Only (A) & (B)

5) None of these



Assignment -1 Comprehension Package

2. In your opinion what is the main goal the guidelines intends to achieve?

(A) To pool the capital available with the Indians.

(B) To promote Make in India.

(C) To bring in more foreign funds.

1) Only (A) 2) All (A), (B) & (C)

3) Only (C) 4) Only (A) & (B)

5) None of these

3. Why would the guidelines endeavour to restrict the issue to the well-heeled investors?

(A) The relatively better off investors will be able to assess the risks.

(B) The small investors cannot provide consultancy.

(C) The small investors are less committed.

1) Only (A) 2) All (A), (B) & (C)

3) Only (C) 4) Only (A) & (B)

5) None of these

4. As per the new guidelines, which of the following cannot be classified as QIBs?

1) NBFCs. 2) Family trusts

3) Private equity firms. 4) Venture capital firms

5) None of these

5. If a Biotech start-ups intends to get listed on the Institutional trading platform (ITP) of exchanges, how much their pre-issue capital is required to be held by qualified institutional buyers (QIBs)?

1) 50%. 2) 25%. 3) 75%. 4) 100% 5) None of these

6. Why the author is sceptical about the impact of the guidelines?

1) Comparative advantage of listing on other foreign exchanges

2) Change in the policies of the regulators as happened in the past

3) The dilution disclosure requirements and nature of business difficult to understand

4) All of these

5) None of these



Assignment -1 Comprehension Package

7. Which of the following feature of the guidelines is a kind of safety measure against the monopoly and involuntary acquisition?

- 1) For listing at least 25 per cent of pre-issue capital has to be held by qualified institutional buyers (QIBs)
- 2) 75 per cent of the shares listed on the institutional trading platform will be available for institutional investors
- 3) The minimum transaction size will be Rs.10 lakh, both at the time of initial offer and subsequent trading
- 4) No person individually or acting in concert will be allowed to hold more than 25 per cent of the post-issue capital of the start-up
- 5) None of these

8. In the statement, 'Hi-tech start-ups in areas such as analytics and biotech can list in India on the Institutional trading platform (ITP) of exchanges, if at least 25 per cent of their pre-issue capital is held by qualified institutional buyers', what do you mean by pre-issue capital?

- 1) Capital raised after IPO
- 2) Capital raised before IPO
- 3) Grant and subsidy given by the government to the start-ups
- 4) All of these
- 5) None of these

Directions (Q.9 - 10): Choose the word/group of words which is most similar in meaning to the word/group of words printed in bold as used in passage.

9. Flummoxed

- 1) Jeopardised
- 2) Threatened
- 3) Streamlined
- 4) Perplexed
- 5) None of these

10. Confers

- 1) Withholds
- 2) adorns
- 3) Bestows
- 4) Reserves
- 5) None of these

Passage 11

Directions (Q.1 - 10): Read the following passage carefully and answer the questions given below it. Certain words/ Phrases have been printed in bold to help you locate them while answering some of the questions.

The launch of the \$100 billion Asian Infrastructure Investment Bank, within two years of its conception, signals the arrival of a new **multilateral** institution on the world stage. It also represents a challenge to the older such institutions. Mooted by Chinese President Xi Jinping in October 2013, the AIIB took shape with 50 members, including Australia, India, Russia and the United Kingdom. The articles of agreement were initiated at a gathering in Beijing of representatives of the 57 founding-members. The remaining seven are likely to sign in by the end of the year. According to an AIIB press statement, the Bank will be headquartered in Beijing, and will have an initial authorised capital stock of \$100 billion. Reflecting regional character of the Bank, its regional members will be the majority shareholders, holding around 75 percent of shares. China will be the largest shareholder (at 30.34 per cent), followed by India (8.52 per cent) and Russia (6.66 per cent). The voting shares are based on the size of each member country's economy and not contribution to the Bank's authorised capital. China's shareholding is 30.34 per cent and it has retained 26.06 per cent of the voting rights with veto powers for certain key decisions. Though one among the Asian giants, Japan has chosen to stay out of the Beijing-initiated AIIB. The Philippines, which has territorial issues with Beijing in the South China Sea, has held itself back from signing, for now. And Indonesia has sought to have the bank housed in Jakarta. These spell geopolitical roadblocks to the success of the China-led initiative, which in a way is meant



Assignment -1 Comprehension Package

to counter the purported bias among existing multilateral institutions, that are perceived to be driven largely by the diktats of the U.S. and Europe. Indeed, the AIIB is a culmination of China's **incessant** articulation of the concerns of the emerging economies, which felt they were not being given an adequate say in institutions such as the International Monetary Fund and the World Bank. Again, the AIIB is the consequence of the inability of these institutions to undergo change to suit changing times.

It is also essential to see the AIIB and China's ambitious plans for the Belt and Road' Project as being complementary. The "belt and road" have two components—the Silk Road Economic Belt (SREB) that would be established along the Eurasian land corridor from the Pacific coast to the Baltic Sea, and the 21st century Maritime Silk Road (MSR). The "belt and road" run through the continents of Asia, Europe and Africa, connecting the vibrant East Asia economic circle at one end and developed European economic circle at the other. The AIIB as **envisaged** by China is clearly meant to use its financial resources and surplus to invest in projects in the Asian neighbourhood, which is suffering from a massive infrastructure funding gap. The infrastructure projects in the neighbourhood, nevertheless, are a way of allowing Chinese companies (among others) to participate and invest in them at a time when there is a situation of industrial overcapacity. The participation of many countries from Europe and elsewhere in the AIIB attests to their understanding of the potential of the projects for which the investments could be used, especially the Belt and Road schemes. India's participation in the AIIB, too, indicates that New Delhi is keen on a balancing act to suit its interests – to engage with the West and the dominant international finance order, at the same time **exploring** options with new financial institutions. This is a **prudent** strategy.

1. Why was China pushing for the establishment of Asian Infrastructure Investment Bank?

- (A) The inability of existing multilateral institutions to undergo change to suit changing times.
 - (B) China wants to use its financial resources and surplus to invest in projects in the Asian neighbourhood.
 - (C) China wants to dominate other Asian economies.
- 1) Only (C) 2) All (A), (B) & (C)
3) Only (A) & (C) 4) Only (A) & (B)
5) None of these

2. What is the basis of the voting shares of the member countries?

- (A) It is based on the size of each member country's economy.
 - (B) It is based on the contribution of the members to the Bank's authorised capital.
 - (C) It is based on the geographical size of the member countries.
- 1) Only (A) 2) All (A), (B) & (C)
3) Only (B) 4) Only (A) & (B)
5) None of these

3. Why has Philippines chosen to stay out of the AIIB?

- (A) Because it wants to have the bank housed in Jakarta.
 - (B) Because it has territorial issues with Beijing in the South China Sea
 - (C) Because of the pressure from USA.
- 1) Only (A) 2) All (A), (B) & (C)
3) Only (B) 4) Only (A) & (B)
5) None of these

4. Which of the following is true about AIIB?

1. The initial authorised capital stock of \$100 billion.



Assignment -1 Comprehension Package

2. The 57 members have the articles of agreement.
 3. It will be headquartered in Shanghai.
 4. All of these
 5. None of these
-
5. Which of the following countries has the veto power in AIIB?
 1. India
 2. Russia
 3. China
 4. All of these
 5. None of these
-
6. Which of the following countries has formulated the 'Belt and Road' project?
 1. India
 2. Russia
 3. China
 4. Japan
 5. None of these

Directions (Q.7 -8): Choose the word/group of words which is most similar in meaning to the word/group of words printed in bold as used in passage.

7. ENVISAGED

- 1) estimated
- 2) watched
- 3) conducted
- 4) visualised
- 5) publicised

8. INCESSANT

- 1) victorious
- 2) commendable
- 3) incredible
- 4) pragmatic
- 5) relentless

Directions (Q.9 - 10): Choose the word/group of words which is most opposite in meaning to the word/group of words printed in bold as used in passage.

9. PRUDENT

- 1) short - sighted
- 2) discreet
- 3) sensible
- 4) far - sighted
- 5) poignant

10. EXPLORING

- 1) delving into
- 2) scrutinizing
- 3) analysing
- 4) ignoring
- 5) public